Cash Management for Liquid Investment Portfolios

From actual bank cash and unsettled obligations to reliable funding and investment decisions

01

WHAT HAS SETTLED?

Trusted balance by portfolio, account, currency and date

02

WHAT WILL MOVE?

Trades, investor flows, FX, income, expenses and margin

03

WHAT CAN WE DO?

Settlement-date capacity, shortfall warnings and what-if decisions

Liquid portfolios share cash mechanics, not identical flows

Common core: bank cash + dated economic movements. Product-specific systems remain accountable for their business events.

PORTFOLIO TYPE	PRIMARY CASH DRIVERS	SPECIALIZED CONSIDERATIONS
Open-end equity / bond funds	Investor subscriptions and redemptions; trades; coupons, maturities and expenses	Trading calendar, settlement timing, fund-level liquidity
ETFs	Security and cash components of authorized-participant creations/ redemptions; market trades	Baskets and cash-in-lieu; primary versus secondary market activity
CITs and managed accounts	Plan or client funding; portfolio trades and portfolio-generated cash	Trust/mandate rules; fund vs account ownership
Multi-asset / fund-of-funds	Underlying fund dealing, rebalancing and investor activity	Parent-versus-underlying cash; no unauthorized netting
Money-market funds	Daily dealing, instrument maturities, income and purchases	Liquidity and maturity controls are specialist investment capabilities

Why cash management exists: one decision, many operating facts

Portfolio managers decide what to trade; operations establish what is known, funded, and still outstanding.

CUSTODY / BANK

Posted cash + settlements

FUND ACCOUNTING

Books, income, expenses

INVESTOR ACTIVITY

Subscriptions / redemptions

TRADING / OTHER

Trades, FX, collateral

OPERATIONS / CONTROL

Establish the starting cash position

Source selection, bank reconciliation, effective dates, breaks and evidence

INVESTMENT / DECISION

Project cash and test funding

Unsettled movements, forecast assumptions, reserves and proposed trades

BUSINESS OUTCOME

Meet settlement and investor obligations while avoiding idle cash and unexplained funding risk.

Four concepts that must not be conflated

Each concept has a distinct business meaning, data grain, update frequency, and consumer.

1 CASH ACTIVITY

The individual actual or expected economic movement in cash.

Example: an executed $4M purchase due at T+2.

Grain: fund / cash leg / value date / status

2 CASH POSITION

A balance at a specified effective or projected point in time.

Example: $12M opening settled cash for USD.

Grain: fund / account / currency / time

3 CASH FORECAST

A time series of future cash positions from an agreed starting point and eligible movements.

Example: T+1 $7M, T+2 $3M, T+3 $6M.

Grain: target date / assumptions / as-of

4 CASH AVAILABILITY

Funding capacity for a date and purpose after eligibility, restrictions and reserves.

Example: $6M forecast less $2M reserve = $4M usable.

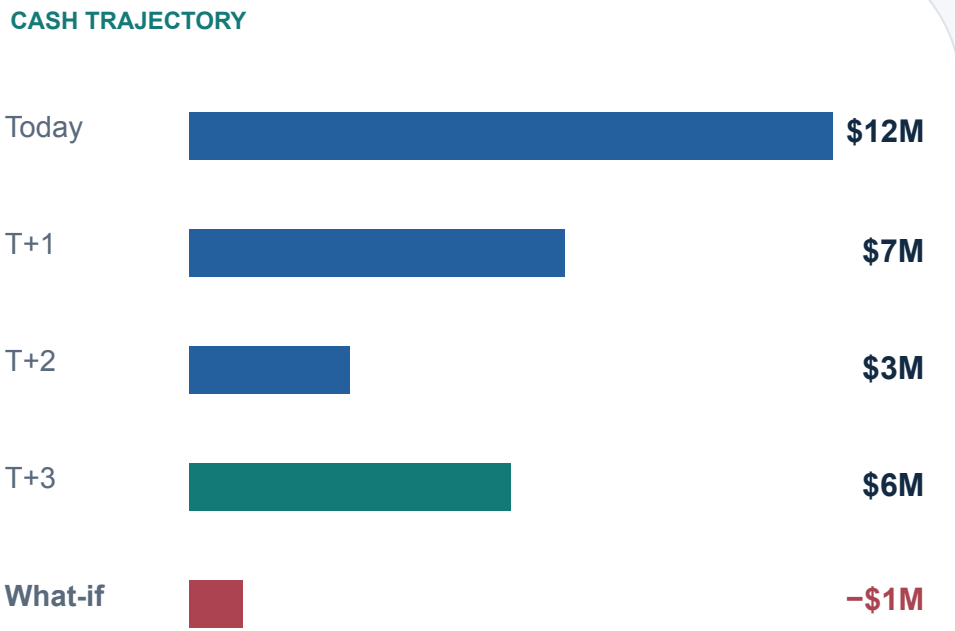
Grain: date / policy / permitted use

Relationship: approved baseline + eligible movements → projected position → availability and what-if decisions.

Worked example: the cash answer changes by settlement date

Hypothetical USD portfolio; every amount is in $ millions. Scenario remains separate from executed obligations.

DATE	CASH DRIVER	IMPACT	POSITION
Today	Approved cash baseline	—	**$12M**
T+1	Confirmed shareholder redemption	**−5**	**$7M**
T+2	Executed but unsettled security purchase	**−4**	**$3M**
T+3	Confirmed shareholder subscription	**+3**	**$6M**
T+3 scenario	Proposed new purchase (not executed)	**−7**	**−$1M**



The new $7M purchase would create a $1M projected cash deficit.

Position, projection and availability answer different questions

Using the same fund, add a hypothetical $2M required operating reserve at T+3.

BANK CASH TODAY

$12M

Already posted; approved starting point

Custodian or selected source

FORECAST AT T+3

$6M

Opening balance plus eligible future cash

Projection engine

AVAILABLE AT T+3

$4M

Projected $6M less $2M reserve

Availability policy

AFTER PROPOSED $7M BUY

−$1M

Scenario cash position; $3M below reserve

What-if decision

Availability must specify the fund, currency, settlement date, account restrictions, reserve assumptions and eligible receipts.

Sources are authoritative for events; cash management resolves their impact

An interface contract must preserve identity, status, currency, settlement date, and where a movement has been counted.

SOURCE / OWNER	FACT REPORTED	CASH-PROCESSING RULE
Custodian / bank	Posted balance and credits / debits	Starting cash and settlement evidence; reconcile exceptions
Fund / shareholder accounting	Official accounting balances, expenses, confirmed shareholder flows	Approved alternate baseline or confirmed cash impact
Transfer agent / distributor	Estimated subscriptions and redemptions	Do not sum preliminary and later confirmed versions
Trading / allocations	Orders, executions, cancellations, settlement legs	Orders superseded by executed obligations; preserve revisions
FX / collateral systems	FX cash legs, margin demands and updates	Track native currencies, value dates, and status independently
Portfolio manager / trader	Proposed transactions and funding scenarios	Keep hypothetical cash distinct from actual obligation

Do not replace authoritative source records with a second accounting ledger; resolve their operational cash effects.

Most consequential control: expected activity must become settled cash once

The same economic outflow changes state; it must not be counted again merely because another system reports it.

EXECUTED

Trade −$4M, still unsettled

→

EXPECTED IMPACT

Forecast subtracts −$4M

→

BANK POSTED

Custodian cash now includes −$4M

→

BASELINE UPDATED

Trade leaves unsettled projection

CORRECT / CONTINUITY

Before posting: $12M − $4M = $8M

After posting: $8M baseline + $0 remaining = $8M

INCORRECT / DOUBLE COUNTING

$8M new baseline − $4M old forecast = $4M

Failure to recognize that the payment is already in bank cash.

Requirement: link posting evidence, movement identity and baseline version before changing projection eligibility.

Cash processing has three clocks, not one timestamp

A projected number is credible only when its dates and the information known at calculation time are explicit.

EFFECTIVE DATE

What is already in the cash baseline?

Bank cash at Tuesday 09:15, version B43

SETTLEMENT / VALUE DATE

When should a movement change cash?

Trade executed Monday, due Tuesday

AS-OF / OBSERVATION TIME

When was this information known and published?

Projection calculated Monday 15:00

MINIMUM AUDITABLE CASH ANSWER

Fund + cash account + currency + baseline source/version + included movement IDs + settlement horizon + as-of time + policy/scenario version

A 10:00 AM projection should be reproducible even when a 2:00 PM confirmation changes the latest view.